

THE MARGIN-PROOF TRACKER

We set a public test. It went against us.

In Issue 006 we named two companies and a date. Either they isolated AI in reported results on 28 July, or they came off the board. Both reported. Neither did.



Swipe: the full board, the adjudication,
and the two rows that broke the instrument.

THE EVIDENCE LADDER

Five rungs. Only the top one counts.

- 0 Narrative**
A story about AI. No number attached.
- 1 Operational**
A quantified activity number. Seats, tickets, hours.
- 2 Financial claim**
A dollar figure asserted. Nothing reconciled.
- 3 P&L-attributed**
AI isolated in reported results.
- 4 Sustained**
Stage 3 holds four straight quarters.

Nobody we track has reached Stage 4.

THE SCOREBOARD

Where the ten actually sit

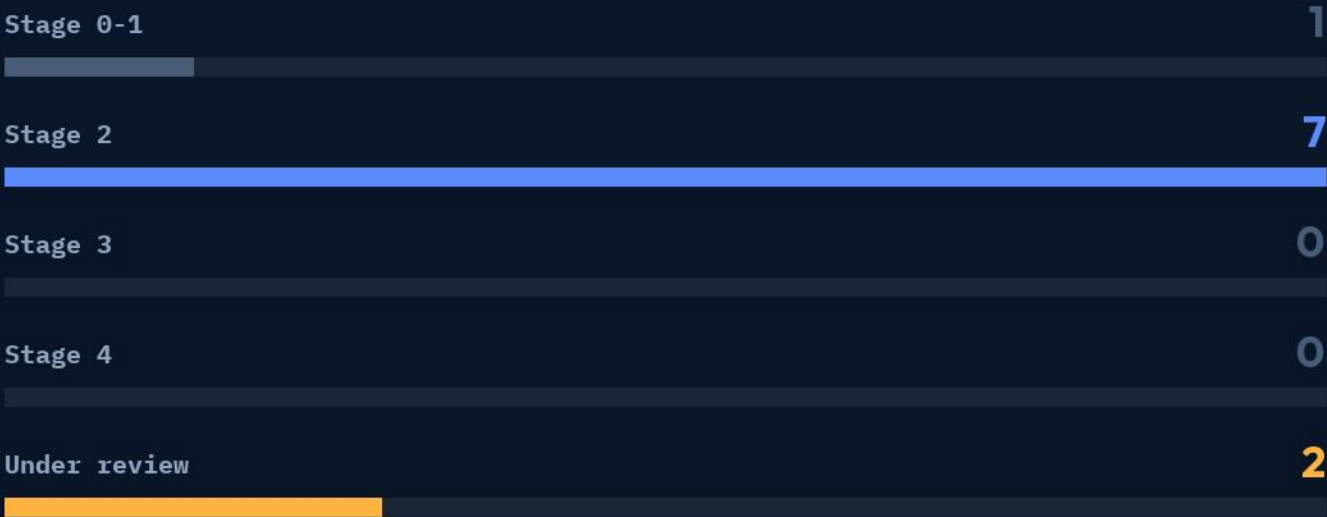
	0	1	2	3	4	SUSTAINED
Duolingo 						v2
Visa 						n/s
Infosys						2
Equifax						2
ServiceNow						2
IBM						2
Alphabet						2
Bank of America						2
Klarna						2
JPMorgan						1

 Ringed rows are under methodology review. Stage 4 column: still empty.

THE SHAPE OF IT

Seven of ten sit on the same rung.

Stage 2 is where a company has asserted a dollar figure and never reconciled it to reported results. It is the most comfortable place on the ladder: it sounds like proof and commits to nothing.



WHAT STAGE 2 ACTUALLY MEANS

A claim asserted. Never reconciled.

IBM

GenAI book of business keeps growing.
Signings are not revenue. The company says so itself.

ServiceNow

AI crossed \$1B in annual contract value.
Contracted, not booked. It has not reached reported results.

Equifax

A \$150M AI cost-reduction goal for 2026 to 2028.
It sized the saving and put no number on the upside.

THE TEST WE SET, AND LOST

We published the date first.

Issue 006 said S&P Global and Ecolab would earn Stage 3 on 28 July or come off the board. That was printed before we knew the answer, which is the only way a test counts.

S&P Global

Its filed exhibit contains no AI-attributed figure of any kind.

Ecolab

Real AI-linked revenue, 29% growth in Global High-Tech approaching \$1.5B annualised. But it comes from selling into the build-out, not from using AI internally. A demand indicator, not isolated AI revenue.

Both retired. Rows are never deleted; both stay in the archive with the original call verbatim.

WHERE THE INSTRUMENT BROKE

Two rows the ladder could not represent.

Visa

A solid workforce-cost figure with the AI share unquantified. A real number, no attribution.

Duolingo

A written P&L attribution expressed in basis points rather than dollars. Real attribution, no dollar figure.

Rather than force either into a score the definition does not support,
we are reworking the methodology over the coming weeks.

The likely direction: scoring number quality and attribution quality on separate axes. We will publish the revision in full.

WHY THE TOP RUNG IS EMPTY

Four straight quarters is the bar.

Stage 4 asks for one thing: an AI-attributed margin gain that holds for a year. Not a target. Not a pilot. A number in reported results, four times running.

Nothing in the reporting rules requires a company to isolate AI in its reported results. Absent that requirement, the number that would clear rung 3 is one almost nobody has a reason to produce.

So the absence is not shyness.

It is what the reporting rules currently permit.

RUN THIS ON YOUR OWN AI SPEND

Four questions.

01 Can a rival buy it tomorrow?

Then budget it as table stakes and negotiate it like a utility.

02 Does it run on something only you have?

Proprietary data, a licence, a physical asset, a regulatory position.

03 Is it tied to your operations specifically?

Or would it work identically at a competitor?

04 Will it still be scarce in three years?

Scarcity is the whole of the advantage.

Mostly "anyone can buy it" → you are funding a cost line.

Mostly "only us" → that is where advantage forms.

WHAT MOVES A ROW NEXT

The next three tests

WED AUG 5

Duolingo

Q2. The only row with a written causal attribution to AI. Does it recur, or was it a one-quarter formulation?

TUE AUG 18

Klarna

Does the ~\$60M the company claims ever appear in writing?

Q4 FY2026

Visa

Any portion of the reduction actually attributed to AI, in writing.

**We publish the ladder
every Sunday.**

Free. aiabovethecut.com